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6.3 Kinds of Distribution of Income

Personal Distribution

Personal Distribution is the distribution of national income among the individuals.

Functional Distribution

Functional Distribution means the distribution of income among the four factors of production namely land, labour, capital and organisation for their services in production process.

6.4 Marginal Productivity Theory of Distribution

Introduction

Marginal Productivity Theory of distribution was developed by Clark, Wickseed and Walras. This theory explains how the prices of various factors of production are determined. This theory explains how rent, wages, interest and profit are determined. This theory is also known as "General Theory of Distribution" or "National Dividend Theory of Distribution".

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Assumptions

This theory is based on the following assumptions:

1. All the factors of production are homogenous.
2. Factors of production can be substituted for each other.
3. There is perfect competition both in the factor market and product market.
4. There is perfect mobility of factors of production.
5. There is full employment of factors.
6. This theory is applicable only in the long-run.
7. The entrepreneurs aim at profit maximization.
8. There is no government intervention in fixing the price of a factor.
9. There is no technological change.

Explanation of the Theory

According to the Marginal Productivity Theory of Distribution, the price or the reward for any factor of production is equal to the marginal productivity of that factor. In short, each factor is rewarded according to its marginal productivity.

Marginal Product

The Marginal product of a factor of production means the addition made to the total product by employment of an additional unit of that factor. The Marginal Product may be expressed as MPP, VMP and MRP.